

dia Pharma Sector Report 2023–24, the sector contributes nearly 1% of global greenhouse gas emissions—a footprint comparable to that of the global aviation industry.

THE GREEN REVOLUTION

Several Indian pharma firms are taking decisive steps to mitigate their environmental impact. Sun Pharmaceutical Industries, for instance, sourced 38% of its energy from renewable sources in FY24, a significant increase from about 22% in FY20, reduced Scope 1 and 2 GHG emissions by 18% from 2020 levels, and cut water consumption by 21%—surpassing its 2025 sustainability goals. Scope 1 and 2 emissions refer to direct and energy-related emissions a company controls; Scope 3 includes emissions in its value chain.

Dr. Reddy's Laboratories, too, has upped the quantum of renewable energy in its consumption of power, deriving 48% from renewables. It says it has lowered emissions by 14%, and reduced freshwater use by 7% year-on-year. Lupin, meanwhile, reported that 33.8% of energy used is derived from renewable sources, and it has reduced emissions by 21%, and recycled 44% of its total water consumption. It says renewable fuel constituted more than 40% of its total energy mix in FY25, and achieved an approximate 23% reduction in Scope 1 & 2 emissions.

"We are committed to managing all our waste streams... in a way that minimises our environmental impact and aligns with our circular economy goals," Ramesh Swaminathan, Executive Director, Global CFO & Head of API+, Sustainability and IT at Lupin, explains.

Cipla Ltd also aims to significantly reduce its environmental footprint. "Cipla has goals of achieving 50% renewable electricity, zero waste to landfill, and water neutrality by [year end]," Achin Gupta,



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ACHIN GUPTA
GLOBAL CHIEF OPERATING
OFFICER, CIPLA LTD



"Sustainability intelligence and climate resilience are emerging as key drivers of competitive advantage"

NITESH MEHROTRA
PARTNER, SUSTAINABILITY
& RESILIENCE, EY INDIA

Global Chief Operating Officer at Cipla, states. Cipla says its renewable energy consumption has touched 29% from 27% the previous year, and wastewater recycling stands at 84%.

Anupam Rasayan India Ltd is another company that is aligning its growth trajectory with ambitious sustainability goals, underscoring how environmental responsibility

can drive long-term business success.

"Our sustainability strategy is deeply intertwined with our business growth plans," says Anand Desai, Managing Director of Anupam Rasayan. "We have achieved an 89.4% reduction in waste sent to landfill, increased the share of renewable energy in our consumption to 39.5%, and now recycle 35% of our wastewater."

PACKAGE THAT

Going beyond power and water, packaging—another major source of waste—is seeing a sustainability overhaul. The ecofriendly pharma packaging market in India, currently valued at over ₹5,000 crore, is growing at an annual rate of 15%, per a McKinsey & Company report in 2024. Companies are investing in biodegradable materials, reducing plastic, and adopting circular packaging models.

Wastewater treatment is also being prioritised. Firms have installed ZLD systems and upgraded effluent treatment plants to limit harmful discharge—especially important in manufacturing clusters that face intense pollution-related scrutiny.

Yet, the shift is not industry-wide. Contract research, development, and manufacturing organisations (CRDMOs)—which form a significant part of the supply chain—still have a ways to go. A report by Boston Consulting Group and the Indian Pharmaceutical Supply Chain Organisation notes that Indian CRDMOs trail global peers in environmental, social, and governance (ESG) performance due to a lack of awareness, access to capital, and technical expertise. The report recommends that CRDMOs adopt clear ESG targets and invest in Scope 3 emissions reductions.

The CDP's pharma report adds that the growth of the sector must align with environmental responsibility. "Sustainability intelligence